CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ED1545E98
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Mary Hain <mary.hain@enron.com>
Sent: Fri, 26 Jan 2001 02:43:00 -0800 (PST)
To: craiggannett@dwt.com
Cc: James D Steffes <james.steffes@enron.com>, Sean Crandall <sean.crandall@enron.com>, Tim Belden <tim.belden@enron.com>, Paul Kaufman <paul.kaufman@enron.com>, Alan Comnes <alan.comnes@enron.com>, Karen Denne <karen.denne@enron.com>
Subject: COB Exports denied

Craig, - In addition, it is our understanding that the ISO has not cut transmission capacity to Southern California, although that action would have the same effect as cutting transmission to the north.

Jim - I have forwarded this information to Paul & Alan so they can pursue this issue with the Governors. Could we also give this information to Clearing Up, if they promised not to quote us? Do you think that would be helpful?
---------- Forwarded by Mary Hain/HOU/ECT on 01/26/2001 10:46 AM ----------

Mary Hain
01/26/2001 10:26 AM
To: craiggannett@dwt.com
cc: James D Steffes/NA/Enron@Enron, csandhe@enron.com, Sean Crandall/PDX/ECT@ECT, Tim Belden/HOU/ECT@ECT
Subject: COB Exports denied

From an operational perspective, during a Stage 3 Emergencies, the ISO has three options available to keep the lights on. It can (1) buy more power (under its DOE granted Section 202(c) authority), (2) cut scheduled power transactions, or (3) derate transmission capacity used to export power from its system. The Cal ISO has recently been derating to zero transmission capacity to the Northwest (option 3). Because transmission users can't get capacity to sell their power outside California, the effect is that the ISO gets cheaper power over customers in the NW.

I was thinking of a political approach to solving this problem. I was wondering if you could work with your contacts to mobilize NW Senators (?) to write a letter to the California ISO and the Governor; you might even get Steve Wright to sign on given that this situation must make it more difficult for him to balance his budget.

The central theme of the letter would point out what a hue and cry there would be if BPA engaged in such actions and that California is simply trying

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to get cheaper power than the rest of the region. It could also point out that the Cal ISO already has the mechanism of the Secretary of Energy's Section 202(c) orders to get the power it needs for an emergency and that this order is fairer because it allows market participants to have a just and reasonable rate determined (albeit after the fact) for the power. I wouldn't bring up the ISO's authority to cut scheduled power transactions. I don't think we want to encourage that.

What do you think? Call me.

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